Chapter Forty-Seven

Fundamental Economic Policy Reforms for a $10 Trillion Economy

Economic reforms are all about choosing the right economic policy framework to create the right incentives and institutions for the factors of production to create value by producing goods and services that are expected to have demand in times to come at cost and with quality to make them competitive domestically and internationally. The government's economic policy has the strongest influence on productive forces—businesses and labour—as it affects their incentives and disincentives and shapes their animal spirits, behaviour, actions, investments and participation.

Metamorphic changes are taking place in technology. Digitalization is spreading fast in production of goods and services and fundamentally altering their productivity, competitiveness and quality. Environmental considerations have become extremely important and are having a huge impact on manufacturing and energy systems. Social and governance considerations are also becoming critical.

The private sector and foreign investments have been allowed in India but a large inefficient public sector still exists. Government finances are also quite fragile.

The fundamental economic policy framework (Economic Policy Framework 3.0) to build India's conducive economic, financial and fiscal system to grow India's economy to $10 trillion by 2035 would have to be built around following five fundamental reforms.